In March 1969, soon after he became the Chairman, Talwar in his address to the annual general meeting of shareholders observed: ‘Banks now stand committed to finance agriculture and it is thought desirable that they should concentrate on areas with promise of immediate increase in production and prosperity. To my mind, this intensive area approach should be the beginning of an integrated development of the selected areas, which would permit financing of the diverse needs of the rural economy.’[17]

The area approach was further refined with the setting up of ADBs to cover a large number of contiguous villages and provide comprehensive coverage to all viable agricultural activities. In 1971, Talwar felt that the integrated area approach deserved greater emphasis. He claimed that he got the idea for the ADBs on one of his trips to Pondicherry. The new strategy envisaged the selection of about 150 intensive centres over two or three years. At each of these intensive centres it was decided to set up an ADB, a specialized branch designed specifically for agricultural lending, staffed with the required complement of technical and non-technical field personnel. To avoid overlap, no ADB was generally located within the area of operation of a Regional Rural Bank. Demarcation of respective areas proved to be a major problem and Talwar hoped that the RBI would take the initiative in ensuring ‘the much needed coordination’ and ‘resolution of wasteful conflicts.’[18]

An ADB identified bankable propositions of a definite area consisting of a group of at least 100–150 contiguous villages and provided 4,000–5,000 farmers with loans aggregating ₹1 to 1.5 crores over a period of four to five years. Initially the branch was to look after the ‘exclusive needs of rural credit and not get bogged down with other commercial banking functions.’ In short, the aim of the bank was to finance agricultural development rather than merely finance agriculture.[19] Later, in May 1975, a decision was taken to provide total services for all their economic activities. Each branch prepared a business plan for four to five years, taking into account the agricultural development potential and the needs of the local agriculturists. Besides ADBs were to accept farmers’ deposits and grant agricultural loans against gold ornaments and silverware even to farmers not from villages covered by them. The ADBs which were 57 in number with outstandings of ₹4.4 crore in 1972 rose to 197 with outstandings of ₹100.12 crore in 1976.